Alibaba Group (BABA US & 9988 HK)

The December quarter crossover: AI becomes self funding before the market expects it

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Ahead of Alibaba's September quarter results, we cut FY27/28E non-GAAP EPS by 9%/10%, raise FY27E non-GAAP EBITDA by 8% and cut FY28E non-GAAP EBITDA by 4%. We lower our price targets to US$200/HK$195 and maintain Overweight. Our call rests on cloud EBITA exceeding AI model and application losses for the first time in the December quarter, allowing cloud growth to contribute to group earnings. The longer infrastructure build extends the growth runway but brings depreciation before utilization ramps, pushes out first-year cloud revenue as capacity awaits commissioning and reduces interest income as cash moves into compute. Depreciation is a real cost; shareholder returns depend on asset returns, funding costs and the economics Alibaba retains. We remain 14%/30% above consensus non-GAAP EBITDA for FY27/28E. We would add into the print.

- **The key debate is whether cloud profit can outgrow AI spending without further dilution following the August placement.** We forecast AI Labs and Applications losses near Rmb10bn in the September quarter, below the June quarter peak and broadly stable as the Qwen roadmap continues. For cloud EBITA to exceed those losses in the December quarter, we assume a continuously improving segment margin on revenue growing above 50%. A positive combined result would support our published argument that cloud margins can rise toward 20% over time as successive infrastructure investments mature. It would also demonstrate coverage of AI operating losses within the segment. Separately, we forecast no further equity financing this fiscal year. Buy-side feedback suggests investors need two to three quarters of evidence; we expect the September quarter to be the second. We believe consensus captures neither the December quarter crossover nor FY28 cloud growth above 50%; the latter accounts for most of our FY28E EBITDA premium.
- **E-commerce: EBITA stabilization to continue in Sep Q, with quick commerce the remaining drag.** We expect CMR growth of ~1% YoY on a like-for-like basis, a similar pace to the last quarter, and Taobao/Tmall Group EBITA to be flat YoY — an improvement from the 3% yoy decline in June and, in our view, a sign that competitive intensity is easing at the margin. On our numbers, the gap between CMR and EBITA growth narrows to ~1ppt, consistent with margin stabilization rather than further deterioration. Quick commerce losses should come in at ~Rmb9.2bn on our estimates, well below Rmb35bn a year ago; with AOV rising on a richer mix, we see the segment on a credible loss-reduction path without sacrificing market share.
- **Cloud + AI: the December EBITA crossover is the key datapoint.** We expect Cloud revenue growth of 53% YoY and EBITA margin to keep stepping up to

Equity Ratings and Price Targets

Company	Ticker	Mkt Cap ($ mn)	Price CCY	Price	Rating Cur	Rating Prev	Price Target Cur	Price Target End Date	Price Target Prev	Price Target End Date
Alibaba Group Holding Limited (BABA)	BABA US	277,060	USD	111.37	OW	n/c	200.00	Jun-27	210.00	Dec-26
Alibaba Group Holding Limited	9988 HK	271,344	HKD	107.00	OW	n/c	195.00	Jun-27	205.00	Dec-26

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. n/c = no change. All prices as of 09 Oct 26.

See page 10 for analyst certification and important disclosures, including non-US analyst disclosures.

12.4% in Sep Q, from 11.6% last quarter, with further acceleration penciled in for December and March quarters. We forecast AI lab & application EBITA losses of ~RMB10.6bn, with Cloud + AI lab combined EBITA modestly negative this quarter. We expect the combined figure to turn positive in December quarter— indicating revenue acceleration to over 55% yoy and over 15% cloud margin on our numbers. We see the crossover as the first hard datapoint on AI ROIC and the key debate for the stock over the next one-to-two quarters; until it is delivered, the burden of proof stays on the AI buildout translating into returns.

- **Forecast revision**. We revise down FY27/FY28E total revenue by 2%/6% as we 1) revise down all others segment revenue, and 2) fine-tune the cloud revenue calculation framework. We cut FY27/28E adj EPS by 9%/10% due to revenue cut and adjustment on below-the-line items. Our new Jun-27 PTs of US$200/HK$195 are based on 17x FY28E P/E, from the previous 16x as the pending Cloud +AI EBITA crossover de-risk the earnings path.

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Table 1: Alibaba forecast revisions

YE 31 Mar			FY27E					FY28E		
Figures in RMB,mn	JPMe old	JPMe new	% change	Consensus	% delta	JPMe old	JPMe new	% change	Consensus	% delta
Net Revenue	1,152,979	1,127,228	*-2%*	1,124,000	*0%*	1,415,332	1,329,929	*-6%*	1,272,000	*5%*
Gross profit	441,908	433,274	*-2%*	441,339	*-2%*	563,063	529,392	*-6%*	510,606	*4%*
EBITDA (non GAAP)	179,568	193,174	*8%*	168,830	*14%*	304,350	290,923	*-4%*	223,242	*30%*
EBIT (GAAP)	103,143	102,760	*0%*	91,022	*13%*	186,473	169,113	*-9%*	143,912	*18%*
EBIT (non GAAP)	128,837	128,679	*0%*		*na*	205,277	187,330	*-9%*		*na*
PBT (GAAP)	150,375	133,996	*-11%*	120,813	*11%*	234,473	210,313	*-10%*	170,234	*24%*
Net income (GAAP)	106,136	93,789	*-12%*	88,547	*6%*	175,244	157,248	*-10%*	130,395	*21%*
Net income (Non-GAAP)	129,048	116,953	*-9%*	105,055	*11%*	192,632	174,136	*-10%*	147,287	*18%*
EPADS (GAAP)										
Diluted (RMB)	44.86	39.67	*-12%*	36.24	*9%*	77.75	69.80	*-10%*	55.24	*26%*
EPADS (Non GAAP)										
Diluted (RMB)	54.52	49.44	*-9%*	43.33	*14%*	85.44	77.26	*-10%*	60.46	*28%*
Margin analysis (%)										
Gross margin	38.3%	38.4%	*0.1%*	39.3%	*-0.8%*	39.8%	39.8%	*0.0%*	40.1%	*-0.3%*
non-GAAP EBITDA margin	15.6%	17.1%	*1.6%*		*na*	21.5%	21.9%	*0.4%*		*na*
EBIT margin (GAAP)	8.9%	9.1%	*0.2%*		*na*	13.2%	12.7%	*-0.5%*		*na*
EBIT margin (non-GAAP)	11.2%	11.4%	*0.2%*		*na*	14.5%	14.1%	*-0.4%*		*na*
Net margin (GAAP)	9.2%	8.3%	*-0.9%*	7.9%	*0.4%*	12.4%	11.8%	*-0.6%*	10.3%	*1.6%*
Net margin (non GAAP)	11.2%	10.4%	*-0.8%*	9.3%	*1.0%*	13.6%	13.1%	*-0.5%*	11.6%	*1.5%*

Source: J.P. Morgan estimates, Bloomberg Finance L.P (as of Oct 10, 2026).

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Alibaba Group Holding Limited (BABA)

Overweight

BABA,BABA US

Price (09 Oct 26): $111.37

▼ **Price Target (Jun-27): $200.00**
Prior (Dec-26): $210.00

China

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Key Changes (FYE Mar)

	Prev	Cur	Δ
Adj. EPS - 27E (Rmb)	54.23	49.15	-9.4%
Adj. EPS - 28E (Rmb)	85.14	76.96	-9.6%

Quarterly Forecasts (FYE Mar)

Adj. EPS (Rmb)

	2026A	2027E	2028E
Q1	14.00	8.58A	18.33
Q2	4.32	11.66	18.40
Q3	6.92	16.58	22.56
Q4	0.04	12.42	17.69
FY	25.23	49.15	76.96

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	16	22	20	15	19
Growth	42	79	70	72	53
Momentum	74	92	91	12	90
Quality	62	55	49	45	27
Low Vol	66	68	66	88	33

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

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We revise down FY27/FY28E total revenue by 2%/6% as we: 1) revise down all others segment revenue, and 2) fine-tune the cloud revenue calculation framework. We cut FY27/28E adj EPS by 9%/10% due to the revenue cut and adjustment on below-the-line items. Our new Jun-27 PT of US$200 is based on a 17x FY28E P/E, from previously 16x as the pending Cloud +AI EBITA crossover de-risk the earnings path.

Investment Thesis, Valuation and Risks

Alibaba Group Holding Limited *(Overweight; Price Target: $200.00)*

Investment Thesis

Our call rests on cloud EBITA exceeding AI model and application losses for the first time in the December quarter, allowing cloud growth to contribute to group earnings. The longer infrastructure build extends the growth runway but brings depreciation before utilization ramps, pushes out first-year cloud revenue as capacity awaits commissioning and reduces interest income as cash moves into compute. Depreciation is a real cost; shareholder returns depend on asset returns, funding costs and the economics Alibaba retains. Maintain OW.

Valuation

Our Jun-27 PT of US$200 is based on 17x FY28E P/E, the multiple for a 'tier-1 China internet asset'. We use sum-of-parts as a secondary valuation method, in which we assign 14x CY26E P/E to core e-commerce profit, and 6x CY26E P/S to the cloud business, which is a discount to the average of US-listed SaaS names.

Risks to Rating and Price Target

Key downside risks to our rating and price target include: 1) large Chinese internet companies such as Tencent and Baidu posing a threat to Alibaba's Local Services business; 2) investments in digital content are likely to have long gestation period, leading to long-term margin pressure; and 3) mobile monetization improving more slowly than expected, along with the sustainability of China's retail marketplace GMV and revenue growth in the longer run.

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Price Performance



	YTD	1m	3m	12m
Abs	-24.0%	1.8%	0.2%	-35.9%
Rel	-41.7%	-2.4%	-4.2%	-54.7%

Company Data

Shares O/S (mn)	2,488
52-week range ($)	182.50-91.99
Market cap ($ mn)	277,060
Exchange rate	1.00
Free float (%)	-
3M ADV (mn)	10.91
3M ADV ($ mn)	1,273.2
Volatility (90 Day)	42
Index	NASDAQ COMPOSITE
BBG ANR (Buy | Hold | Sell)	47|3|1

Key Metrics (FYE Mar)

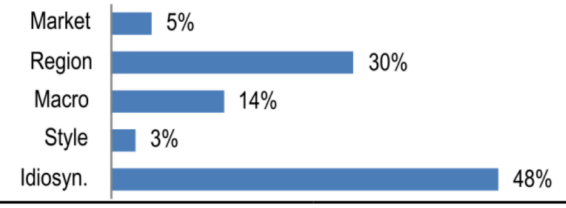
Rmb in millions	FY26A	FY27E	FY28E	FY29E
Financial Estimates				
Revenue	1,023,670	1,127,228	1,329,929	1,603,496
Adj. EBITDA	113,483	193,174	290,923	395,834
Adj. EBIT	76,416	128,679	187,330	258,441
Adj. net income	60,658	116,953	174,136	226,364
Adj. EPS	25.23	49.15	76.96	104.16
BBG EPS	32.41	43.33	60.46	-
Cashflow from operations	76,213	210,136	322,076	408,705
FCFF	(68,848)	(41,077)	11,790	25,771
Margins and Growth				
Revenue Growth Y/Y (%)	2.6%	10.1%	18.0%	20.6%
Gross margin	39.8%	38.4%	39.8%	40.2%
EBITDA margin	11.1%	17.1%	21.9%	24.7%
EBIT margin	7.5%	11.4%	14.1%	16.1%
Adj. EPS growth	(61.8%)	94.8%	56.6%	35.3%
Ratios				
Adj. tax rate	19.1%	27.5%	24.9%	24.9%
Interest cover	NM	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROCE	4.8%	6.8%	9.3%	11.4%
ROE	5.8%	10.4%	13.8%	15.5%
Valuation				
FCFF yield	(3.8%)	(2.3%)	0.7%	1.6%
Dividend yield	-	-	-	-
EV/Revenue	1.5	1.3	1.1	0.8
EV/EBITDA	13.3	7.9	5.0	3.4
Adj. P/E	29.6	15.2	9.7	7.2

Summary Investment Thesis and Valuation

Our call rests on cloud EBITA exceeding AI model and application losses for the first time in the December quarter, allowing cloud growth to contribute to group earnings. The longer infrastructure build extends the growth runway but brings depreciation before utilization ramps, pushes out first-year cloud revenue as capacity awaits commissioning and reduces interest income as cash moves into compute. Depreciation is a real cost; shareholder returns depend on asset returns, funding costs and the economics Alibaba retains. Maintain OW.

Our Jun-27 PT of US$200 is based on 17x FY28E P/E, the multiple for a 'tier 1 China internet asset'. We use sum-of-parts as a secondary valuation method, in which we assign 14x CY26E P/E to core e-commerce profit, and 6x CY26E P/S to the cloud business, which is a discount to the average of US-listed SaaS names.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.27	0.32
Region: China	0.82	0.64
Macro:		
JP Morgan EMBI Global Spread	-0.33	-0.29
JPM Global Equity Sentiment	0.33	0.21
Generic 1st 'CO' Future	-0.18	-0.21
Quant Styles:		
Momentum	-0.59	-0.30
Size	-0.51	-0.27
Value	0.39	0.14

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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Alibaba Group Holding Limited (BABA): Summary of Financials

Income Statement	FY26A	FY27E	FY28E	FY29E
Revenue	**1,023,670**	**1,127,228**	**1,329,929**	**1,603,496**
COGS	(616,136)	(693,954)	(800,537)	(959,266)
Gross profit	**407,534**	**433,274**	**529,392**	**644,230**
SG&A	(278,105)	(250,633)	(283,453)	(314,793)
Adj. EBITDA	**113,483**	**193,174**	**290,923**	**395,834**
D&A	(42,146)	(68,141)	(106,604)	(139,934)
Adj. EBIT	**76,416**	**128,679**	**187,330**	**258,441**
Net Interest	77,719	28,341	38,000	36,800
Adj. PBT	**157,262**	**159,915**	**228,530**	**298,441**
Tax	(30,045)	(43,943)	(56,800)	(74,209)
Minority Interest	1,465	680	680	680
Adj. Net Income	**60,658**	**116,953**	**174,136**	**226,364**
Reported EPS	44.05	39.67	69.80	96.60
Adj. EPS	**25.23**	**49.15**	**76.96**	**104.16**
DPS	**-**	**-**	**-**	**-**
Payout ratio	-	-	-	-
Shares outstanding	2,404	2,380	2,263	2,173

Balance Sheet	FY26A	FY27E	FY28E	FY29E
Cash and cash equivalents	131,530	120,579	181,108	299,144
Accounts receivable	251,837	210,004	247,768	298,733
Inventories	-	-	-	-
Other current assets	227,402	227,402	227,402	227,402
Current assets	**610,769**	**557,985**	**656,278**	**825,280**
PP&E	282,699	435,196	588,645	736,966
LT investments	-	-	-	-
Other non current assets	1,016,102	1,008,925	1,001,460	993,588
Total assets	**1,909,570**	**2,002,106**	**2,246,383**	**2,555,834**
Short term borrowings	28,224	28,224	28,224	28,224
Payables	359,893	342,224	412,331	494,088
Other short term liabilities	88,281	90,801	93,165	96,357
Current liabilities	**476,398**	**461,249**	**533,721**	**618,668**
Long-term debt	220,796	220,796	220,796	220,796
Other long term liabilities	86,106	86,106	86,106	86,106
Total liabilities	**783,300**	**768,151**	**840,623**	**925,570**
Shareholders' equity	1,068,731	1,176,416	1,348,221	1,572,724
Minority interests	57,539	57,539	57,539	57,539
Total liabilities & equity	**1,909,570**	**2,002,106**	**2,246,383**	**2,555,834**
BVPS	**460.46**	**511.69**	**616.70**	**748.97**
y/y Growth	*5.9%*	*11.1%*	*20.5%*	*21.4%*
Net debt/(cash)	(103,306)	(92,355)	(152,884)	(270,920)

Cash Flow Statement	FY26A	FY27E	FY28E	FY29E
Cash flow from operating activities	**76,213**	**210,136**	**322,076**	**408,705**
o/w Depreciation & amortization	47,118	75,767	115,562	150,220
o/w Changes in working capital	(26,223)	26,684	34,709	33,982
Cash flow from investing activities	**(67,336)**	**(221,087)**	**(261,547)**	**(290,669)**
o/w Capital expenditure	(126,063)	(216,991)	(257,042)	(285,714)
as % of sales	*12.3%*	*19.3%*	*19.3%*	*17.8%*
Cash flow from financing activities	**(20,573)**	**0**	**0**	**0**
o/w Dividends paid	-	-	-	-
o/w Shares issued/(repurchased)	1,042	0	0	0
o/w Net debt issued/(repaid)	0	0	0	0
Net change in cash	**(15,700)**	**(10,951)**	**60,529**	**118,036**
Adj. Free cash flow to firm	**(68,848)**	**(41,077)**	**11,790**	**25,771**
y/y Growth	*(181.3%)*	*(40.3%)*	*(128.7%)*	*118.6%*

Ratio Analysis	FY26A	FY27E	FY28E	FY29E
Gross margin	39.8%	38.4%	39.8%	40.2%
EBITDA margin	11.1%	17.1%	21.9%	24.7%
EBIT margin	7.5%	11.4%	14.1%	16.1%
Net profit margin	5.9%	10.4%	13.1%	14.1%
ROE	5.8%	10.4%	13.8%	15.5%
ROA	3.3%	6.0%	8.2%	9.4%
ROCE	4.8%	6.8%	9.3%	11.4%
SG&A/Sales	27.2%	22.2%	21.3%	19.6%
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
Sales/Assets (x)	0.6	0.6	0.6	0.7
Assets/Equity (x)	1.8	1.7	1.7	1.6
Interest cover (x)	NM	NM	NM	NM
Operating leverage	(2136.0%)	676.1%	253.5%	184.5%
Tax rate	19.1%	27.5%	24.9%	24.9%
Revenue y/y Growth	2.6%	10.1%	18.0%	20.6%
EBITDA y/y Growth	(43.8%)	70.2%	50.6%	36.1%
EPS y/y Growth	(61.8%)	94.8%	56.6%	35.3%

Valuation	FY26A	FY27E	FY28E	FY29E
P/E (x)	29.6	15.2	9.7	7.2
P/BV (x)	1.6	1.5	1.2	1.0
EV/EBITDA (x)	13.3	7.9	5.0	3.4
Dividend Yield	-	-	-	-

Source: Company reports and J.P. Morgan estimates.
Note: Rmb in millions (except per-share data).Fiscal year ends Mar. o/w - out of which

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Alibaba Group Holding Limited

Overweight

9988.HK,9988 HK

Price (09 Oct 26): HK$107.00

▼ **Price Target (Jun-27): HK$195.00**
Prior (Dec-26): HK$205.00

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Key Changes (FYE Mar)

	Prev	Cur	Δ
Adj. EPS - 27E (Rmb)	6.78	6.14	-9.4%
Adj. EPS - 28E (Rmb)	10.64	9.62	-9.6%

Quarterly Forecasts (FYE Mar)

Adj. EPS (Rmb)	2026A	2027E	2028E
Q1	1.75	1.07A	2.29
Q2	0.54	1.46	2.30
Q3	0.87	2.07	2.82
Q4	0.00	1.55	2.21
FY	3.15	6.14	9.62

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	12	19	14	13	17
Growth	42	78	69	75	55
Momentum	69	95	85	11	93
Quality	63	52	49	50	29
Low Vol	72	73	70	87	36
ESGQ	21	21	91	12	19

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

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Investment Thesis, Valuation and Risks

Alibaba Group Holding Limited *(Overweight; Price Target: HK$195.00)*

Investment Thesis

Our call rests on cloud EBITA exceeding AI model and application losses for the first time in the December quarter, allowing cloud growth to contribute to group earnings. The longer infrastructure build extends the growth runway but brings depreciation before utilization ramps, pushes out first-year cloud revenue as capacity awaits commissioning and reduces interest income as cash moves into compute. Depreciation is a real cost; shareholder returns depend on asset returns, funding costs and the economics Alibaba retains. Maintain OW.

Valuation

Our Jun-27 PT of HK$195 is based on our US$ PT, using a ratio of 8 ordinary shares per ADS and a USD/HKD exchange rate of 7.8.

Risks to Rating and Price Target

Key downside risks to our rating and price target include: 1) large Chinese internet companies such as Tencent and Baidu posing a threat to Alibaba's Local Services business; 2) investments in digital content are likely to have a long gestation period, leading to long-term margin pressure; and 3) mobile monetization improving more slowly than expected, along with the sustainability of China's retail marketplace GMV and revenue growth in the longer run.

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Price Performance



	YTD	1m	3m	12m
Abs	-25.1%	-2.6%	-0.9%	-38.3%
Rel	-19.6%	1.7%	-1.7%	-28.8%

Company Data

Shares O/S (mn)	19,902
52-week range (HK$)	179.00-88.65
Market cap ($ mn)	271,344
Exchange rate	7.85
Free float (%)	90.1%
3M ADV (mn)	89.08
3M ADV ($ mn)	1,297.9
Volatility (90 Day)	46
Index	HSI
BBG ANR (Buy | Hold | Sell)	51|0|1

Key Metrics (FYE Mar)

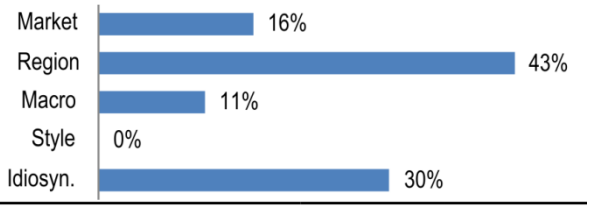
Rmb in millions	FY26A	FY27E	FY28E	FY29E
Financial Estimates				
Revenue	1,023,670	1,127,228	1,329,929	1,603,496
Adj. EBITDA	113,483	193,174	290,923	395,834
Adj. EBIT	76,416	128,679	187,330	258,441
Adj. net income	60,658	116,953	174,136	226,364
Adj. EPS	3.15	6.14	9.62	13.02
BBG EPS	4.05	5.38	7.52	-
Cashflow from operations	76,213	210,136	322,076	408,705
FCFF	(68,848)	(41,077)	11,790	25,771
Margins and Growth				
Revenue Growth Y/Y (%)	2.6%	10.1%	18.0%	20.6%
Gross margin	39.8%	38.4%	39.8%	40.2%
EBITDA margin	11.1%	17.1%	21.9%	24.7%
EBIT margin	7.5%	11.4%	14.1%	16.1%
Adj. EPS growth	(61.8%)	94.8%	56.6%	35.3%
Ratios				
Adj. tax rate	19.1%	27.5%	24.9%	24.9%
Interest cover	NM	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROCE	4.8%	6.8%	9.3%	11.4%
ROE	5.8%	10.4%	13.8%	15.5%
Valuation				
FCFF yield	(3.9%)	(2.4%)	0.7%	1.6%
Dividend yield	-	-	-	-
EV/Revenue	1.5	1.3	1.1	0.8
EV/EBITDA	13.8	7.9	5.0	3.4
Adj. P/E	29.0	14.9	9.5	7.0

Summary Investment Thesis and Valuation

Our call rests on cloud EBITA exceeding AI model and application losses for the first time in the December quarter, allowing cloud growth to contribute to group earnings. The longer infrastructure build extends the growth runway but brings depreciation before utilization ramps, pushes out first-year cloud revenue as capacity awaits commissioning and reduces interest income as cash moves into compute. Depreciation is a real cost; shareholder returns depend on asset returns, funding costs and the economics Alibaba retains. Maintain OW.

Our Jun-27 PT of HK$195 is based on our US$ PT, using a ratio of 8 ordinary shares per ADS and a USD/HKD exchange rate of 7.8.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.39	0.46
Region: China	0.87	0.78
Macro:		
JP Morgan EMBI Global Spread	-0.20	-0.22
Generic 1st 'CO' Future	-0.20	-0.18
US 10 Year Yield	0.34	0.18
Quant Styles:		
Momentum	-0.57	-0.31
Size	-0.49	-0.30
Value	0.46	0.23

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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J.P.Morgan

Alibaba Group Holding Limited: Summary of Financials

Income Statement	FY26A	FY27E	FY28E	FY29E
Revenue	**1,023,670**	**1,127,228**	**1,329,929**	**1,603,496**
COGS	(616,136)	(693,954)	(800,537)	(959,266)
Gross profit	**407,534**	**433,274**	**529,392**	**644,230**
SG&A	(278,105)	(250,633)	(283,453)	(314,793)
Adj. EBITDA	**113,483**	**193,174**	**290,923**	**395,834**
D&A	(42,146)	(68,141)	(106,604)	(139,934)
Adj. EBIT	**76,416**	**128,679**	**187,330**	**258,441**
Net Interest	77,719	28,341	38,000	36,800
Adj. PBT	**157,262**	**159,915**	**228,530**	**298,441**
Tax	(30,045)	(43,943)	(56,800)	(74,209)
Minority Interest	1,465	680	680	680
Adj. Net Income	**60,658**	**116,953**	**174,136**	**226,364**
Reported EPS	5.51	4.96	8.72	12.07
Adj. EPS	**3.15**	**6.14**	**9.62**	**13.02**
DPS	**-**	**-**	**-**	**-**
Payout ratio	-	-	-	-
Shares outstanding	19,235	19,036	18,101	17,386

Balance Sheet	FY26A	FY27E	FY28E	FY29E
Cash and cash equivalents	131,530	120,579	181,108	299,144
Accounts receivable	251,837	210,004	247,768	298,733
Inventories	-	-	-	-
Other current assets	227,402	227,402	227,402	227,402
Current assets	**610,769**	**557,985**	**656,278**	**825,280**
PP&E	282,699	435,196	588,645	736,966
LT investments	-	-	-	-
Other non current assets	1,016,102	1,008,925	1,001,460	993,588
Total assets	**1,909,570**	**2,002,106**	**2,246,383**	**2,555,834**
Short term borrowings	28,224	28,224	28,224	28,224
Payables	359,893	342,224	412,331	494,088
Other short term liabilities	88,281	90,801	93,165	96,357
Current liabilities	**476,398**	**461,249**	**533,721**	**618,668**
Long-term debt	220,796	220,796	220,796	220,796
Other long term liabilities	86,106	86,106	86,106	86,106
Total liabilities	**783,300**	**768,151**	**840,623**	**925,570**
Shareholders' equity	1,068,731	1,176,416	1,348,221	1,572,724
Minority interests	57,539	57,539	57,539	57,539
Total liabilities & equity	**1,909,570**	**2,002,106**	**2,246,383**	**2,555,834**
BVPS	**57.56**	**63.96**	**77.09**	**93.62**
y/y Growth	*5.9%*	*11.1%*	*20.5%*	*21.4%*
Net debt/(cash)	(103,306)	(92,355)	(152,884)	(270,920)

Cash Flow Statement	FY26A	FY27E	FY28E	FY29E
Cash flow from operating activities	**76,213**	**210,136**	**322,076**	**408,705**
o/w Depreciation & amortization	47,118	75,767	115,562	150,220
o/w Changes in working capital	(26,223)	26,684	34,709	33,982
Cash flow from investing activities	**(67,336)**	**(221,087)**	**(261,547)**	**(290,669)**
o/w Capital expenditure	(126,063)	(216,991)	(257,042)	(285,714)
as % of sales	*12.3%*	*19.3%*	*19.3%*	*17.8%*
Cash flow from financing activities	**(20,573)**	**0**	**0**	**0**
o/w Dividends paid	-	-	-	-
o/w Shares issued/(repurchased)	1,042	0	0	0
o/w Net debt issued/(repaid)	0	0	0	0
Net change in cash	**(15,700)**	**(10,951)**	**60,529**	**118,036**
Adj. Free cash flow to firm	**(68,848)**	**(41,077)**	**11,790**	**25,771**
y/y Growth	*(181.3%)*	*(40.3%)*	*(128.7%)*	*118.6%*

Ratio Analysis	FY26A	FY27E	FY28E	FY29E
Gross margin	39.8%	38.4%	39.8%	40.2%
EBITDA margin	11.1%	17.1%	21.9%	24.7%
EBIT margin	7.5%	11.4%	14.1%	16.1%
Net profit margin	5.9%	10.4%	13.1%	14.1%
ROE	5.8%	10.4%	13.8%	15.5%
ROA	3.3%	6.0%	8.2%	9.4%
ROCE	4.8%	6.8%	9.3%	11.4%
SG&A/Sales	27.2%	22.2%	21.3%	19.6%
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
Sales/Assets (x)	0.6	0.6	0.6	0.7
Assets/Equity (x)	1.8	1.7	1.7	1.6
Interest cover (x)	NM	NM	NM	NM
Operating leverage	(2136.0%)	676.1%	253.5%	184.5%
Tax rate	19.1%	27.5%	24.9%	24.9%
Revenue y/y Growth	2.6%	10.1%	18.0%	20.6%
EBITDA y/y Growth	(43.8%)	70.2%	50.6%	36.1%
EPS y/y Growth	(61.8%)	94.8%	56.6%	35.3%

Valuation	FY26A	FY27E	FY28E	FY29E
P/E (x)	29.0	14.9	9.5	7.0
P/BV (x)	1.6	1.4	1.2	1.0
EV/EBITDA (x)	13.8	7.9	5.0	3.4
Dividend Yield	-	-	-	-

Source: Company reports and J.P. Morgan estimates.
Note: Rmb in millions (except per-share data).Fiscal year ends Mar. o/w - out of which

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Alibaba Group Holding Limited (BABA) (BABA, BABA US) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Oct 29, 2014. All share prices are as of market close on the previous business day.

Date	Rating	Price ($)	Price Target ($)
17-Nov-23	OW	79.11	125
09-Jan-24	OW	72.88	110
08-Feb-24	OW	73.64	105
09-Apr-24	OW	71.71	100
16-Aug-24	OW	79.54	108
09-Oct-24	OW	109.68	125
26-Nov-24	OW	85.58	120
09-Jan-25	OW	83.69	125
21-Feb-25	OW	135.97	170
10-Jul-25	OW	103.83	140
31-Aug-25	OW	135.00	170
01-Oct-25	OW	178.73	245
09-Oct-25	OW	181.12	240
26-Nov-25	OW	157.01	230
09-Jan-26	OW	154.47	215
20-Mar-26	OW	124.90	205
08-Apr-26	OW	119.72	200
14-May-26	OW	145.81	205
21-Aug-26	OW	130.53	210

Alibaba Group Holding Limited (9988.HK, 9988 HK) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage May 11, 2021. All share prices are as of market close on the previous business day.

Date	Rating	Price (HK$)	Price Target (HK$)
17-Nov-23	OW	81.35	120
09-Jan-24	OW	70.35	105
08-Feb-24	OW	74.90	100
09-Apr-24	OW	70.40	95
16-Aug-24	OW	76.40	106
09-Oct-24	OW	104.50	120
26-Nov-24	OW	81.95	117
09-Jan-25	OW	80.90	120
21-Feb-25	OW	120.90	165
10-Jul-25	OW	102.90	135
31-Aug-25	OW	115.70	165
01-Oct-25	OW	177.00	240
09-Oct-25	OW	177.60	235
26-Nov-25	OW	157.80	225
09-Jan-26	OW	142.60	210
20-Mar-26	OW	132.00	200
08-Apr-26	OW	118.50	195
14-May-26	OW	132.80	200
21-Aug-26	OW	126.20	205

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